

Notes: Daines, Gow & Larcker (JFE, 2010)
Rating the Ratings: How Good Are Commercial Governance Ratings?
Expanded interpretation version

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1 Big picture

- **Question.** Do commercial corporate-governance ratings provide useful information for investors, boards, and shareholders?
- **Objects studied.** The paper studies RiskMetrics/ISS Corporate Governance Quotient (CGQ), GovernanceMetrics International (GMI), The Corporate Library (TCL), and Audit Integrity's Accounting and Governance Risk score (AGR).
- **Why the question matters.** These products were sold as governance signals, were used by institutional investors and boards, and could affect voting, board decisions, and even firms' governance choices.
- **Main test.** The paper asks whether ratings measured at the end of 2005 predict future restatements, class-action lawsuits, operating performance, valuation, abnormal stock returns, credit ratings, ISS recommendations, and actual shareholder votes.
- **Main result.** The ratings have limited and inconsistent predictive ability. AGR performs better than the broad governance ratings, but AGR is closer to an accounting-risk or reporting-quality output measure than to a general governance-input index.
- **Core empirical tension.** If the ratings were good summaries of governance quality, the ratings should agree with each other and should predict outcomes in the expected direction. The paper finds weak agreement across vendors and mixed signs in prediction tests.
- **Takeaway.** Commercial governance ratings should not be treated as validated governance-quality measures. They may be useful as rough screens or as inputs to further due diligence, but the evidence does not support using them as stand-alone measures of governance quality.

Interpretation: The paper is not testing whether governance matters in general. It is testing whether *commercial ratings* successfully measure the governance features that matter. This distinction is essential: a weak rating can fail even if true governance quality is important. The evidence therefore speaks most directly to the quality of rating products and the risks of delegating governance evaluation to vendor checklists or proprietary algorithms.

2 Incremental contribution of the paper

- The paper evaluates governance products actually used by institutional investors, boards, and proxy advisers, rather than only academic governance indices such as takeover-defense indexes.
- It compares multiple rating vendors side by side, showing that ratings that claim to measure similar constructs are weakly correlated. This direct vendor-to-vendor comparison is central because users often treat these ratings as interchangeable governance-quality measures.
- It evaluates a broad set of outcomes, including restatements, lawsuits, ROA, Tobin's Q, rating-change announcement returns, Fama–French alphas, credit ratings, ISS recommendations, and shareholder votes.
- It emphasizes *predictive usefulness* and expected signs, not just in-sample statistical significance. A rating can be statistically significant but economically unhelpful or wrong-signed.
- It separates broad governance-input scores (CGQ, GMI, TCL) from an output-like accounting-risk measure (AGR). This shows that apparent success by AGR should not be interpreted as validation of all commercial governance scores.
- It also tests whether ISS's CGQ is related to ISS voting recommendations and actual shareholder votes. This is important because ISS ratings and ISS recommendations could influence the same institutional audience.

Interpretation: The incremental contribution is a disciplined validation exercise. Prior work often examined governance variables selected by researchers or contemporaneous outcomes. This paper asks a more practical question: if a board, investor, or regulator bought one of these ratings in 2005, would that score have helped predict future governance-relevant outcomes? The answer is mostly no. The paper therefore adds a cautionary layer to the governance literature: even when governance itself matters, commercially packaged ratings may not measure it well.

3 Data construction and measurement

3.1 Rating products and samples

The ratings are measured as of December 31, 2005. The four primary ratings are AGR, CGQ, GMI, and TCL. AGR, CGQ, and GMI are reported on 0–100 scales, while TCL is converted from letter grades to a numerical scale. Each rating is standardized in the regressions so coefficients represent the effect of a one-standard-deviation increase in the rating.

- **AGR.** Audit Integrity’s Accounting and Governance Risk score. It is based mainly on accounting and reporting patterns designed to flag aggressive accounting or governance risk.
- **CGQ.** RiskMetrics/ISS Corporate Governance Quotient. It is a broad governance score based on many checklist-style inputs across board, audit, charter, takeover, compensation, ownership, and similar categories.
- **GMI.** GovernanceMetrics International rating. It uses a large set of metrics weighted according to investor interest and scored relative to other firms.
- **TCL.** The Corporate Library rating. It is more analyst-judgment based, using letter grades intended to identify governance red flags.

Interpretation: The products differ not only in data coverage but also in philosophy. AGR is closer to a warning signal about accounting practices, whereas CGQ, GMI, and TCL try to summarize broad governance quality. This distinction matters when interpreting the evidence: AGR success tells us that accounting-risk diagnostics can predict some accounting and litigation outcomes; it does not imply that broad governance checklists predict performance.

3.2 Outcome variables

Outcomes include future restatements, future shareholder lawsuits, industry-adjusted ROA, Tobin’s Q, short-window stock returns around rating changes, future Fama–French alphas, S&P credit ratings, ISS recommendations, and shareholder votes.

- **Bad outcomes:** restatements and securities class-action lawsuits. These are events that a governance or accounting-risk rating should plausibly predict.
- **Operating and valuation outcomes:** ROA and Tobin’s Q. These are traditional performance proxies, but they are affected by many non-governance forces.
- **Market outcomes:** abnormal returns around rating changes and future alphas. These ask whether investors learn from rating changes or whether ratings forecast abnormal performance.
- **Debt-market outcome:** S&P credit ratings. This asks whether governance scores predict changes in perceived credit quality.
- **Proxy-voting outcomes:** ISS recommendations and actual shareholder votes. These are especially relevant for CGQ because ISS both rates firms and advises voting.

Interpretation: The outcome design deliberately mixes outcomes with different levels of ambiguity. Re-statements and lawsuits are relatively direct failure events; ROA and Q are broad equilibrium outcomes; stock returns embed market expectations; votes may be influenced by ISS itself. A strong commercial rating should perform reasonably across at least the outcomes its vendor claims to predict. The mixed pattern suggests that the ratings do not capture a stable, general governance-quality factor.

3.3 Controls and timing

Ratings are measured before the outcome windows. Conditional regressions include standard firm controls such as leverage, book-to-market, external financing, log market value, acquisitions, free cash flow, lagged performance, or prior credit ratings depending on the outcome.

Interpretation: The timing makes the analysis predictive rather than merely contemporaneous. The controls serve two purposes. First, they test whether ratings contain information beyond ordinary firm characteristics. Second, they reveal whether a rating’s apparent predictive power is just a relabeling of known firm fundamentals such as size, leverage, prior performance, or risk.

4 Empirical specifications and identification strategy

4.1 Baseline predictive framework

The baseline predictive regression is

$$Outcome_{i,t+1} = \alpha + \beta Rating_i + \gamma' Controls_i + \varepsilon_i.$$

Binary outcomes use logit models; continuous outcomes use OLS or ordered logits depending on the outcome. Conditional tests add standard financial controls. Voting regressions distinguish the relation between CGQ and ISS recommendations from the relation between CGQ and actual shareholder voting.

Interpretation: The coefficient on a rating is not interpreted causally. It measures whether a pre-existing commercial score contains incremental predictive information. A useful rating should have the expected sign, should survive relevant controls, and should improve economic prediction enough to matter.

4.2 Why the paper estimates unconditional and conditional models

The paper reports both unconditional and conditional specifications. The unconditional model asks whether a rating is associated with future outcomes in total. The conditional model asks whether a rating contains information beyond other observable firm characteristics.

Interpretation: Both approaches are informative. If governance affects outcomes through firm characteristics, conditioning on those characteristics could remove part of the total effect. But if the rating is simply correlated with conventional fundamentals, the unconditional model could overstate the rating’s value. A convincing commercial rating should ideally perform reasonably under both views. The fact that many results disappear, flip sign, or remain economically small after conditioning weakens the case for using the ratings as independent governance signals.

4.3 Predictive validation versus causal identification

The identification strategy is not causal. The authors do not claim that changing a firm’s score would mechanically change restatement risk, firm value, or shareholder votes. Instead, the strategy is a disciplined predictive validation design:

- ratings are measured before outcomes;
- several distinct outcome families are examined;
- results are judged by expected sign and economic usefulness;
- ratings are compared with standard controls;
- multiple rating systems are tested in parallel.

Interpretation: This is the right design for the paper’s policy question. Commercial vendors made claims that their scores identify future risks or performance. Such claims require predictive validation, not necessarily a causal experiment. If ratings fail to predict future outcomes in the expected direction, then even without causal identification they are not reliable screening tools.

4.4 Threats to interpretation

- **Optimal governance.** Firms may choose governance structures optimally, so a one-size-fits-all rating may not map cleanly into outcomes.
- **Measurement error.** Ratings may use noisy proxies, arbitrary weights, or incomplete data, which attenuates coefficients and creates inconsistent signs.
- **Vendor heterogeneity.** Different vendors may define governance quality differently, so weak correlation may reflect different constructs rather than pure error.
- **Outcome ambiguity.** Firm value and ROA reflect many factors besides governance; restatements and lawsuits are closer to governance failures but still rare.
- **Market anticipation.** Stock returns around rating changes can be weak if markets already know the underlying governance information.

Interpretation: These caveats do not overturn the paper’s main conclusion. They explain why it is hard for any simple rating to work. The practical lesson is that if a rating cannot overcome these problems, users should not treat it as a strong governance metric.

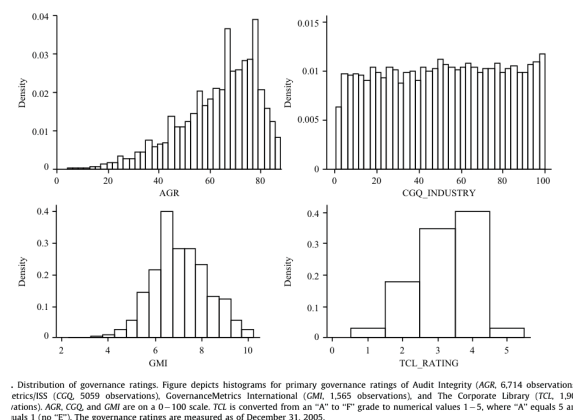
5 Tables and figures

5.1 Table 1: Summary of governance ratings and Figure 1: Distribution of governance ratings

Read: Table 1 shows summary statistics and correlations among the four rating products. Figure 1 shows that the distributions of the four ratings differ sharply. CGQ is close to a percentile-like distribution, AGR and TCL are more skewed, and GMI has its own distinct shape.

Interpretation: The low correlations among ratings are the first warning sign. If four products all claim to measure corporate governance quality, they should agree at least moderately. Instead, most correlations are close to zero except for CGQ and GMI. This implies that a firm can be classified as high governance quality by one vendor and low quality by another. That makes the ratings hard to use for governance benchmarking.

Economic message: Before testing future prediction, the paper shows that vendors disagree on the object being measured. This undercuts the idea that there is a single commercially validated governance score.



(a) Figure 1: Distribution of governance ratings

Table 1								
Summary of governance ratings.								
Panel A provides summary statistics for primary governance ratings of Audit Integrity (AGR), RiskMetrics/ISS (CGQ), GovernanceMetrics International (GMI), and The Corporate Library (TCL). Panel B provides correlation statistics for the primary governance ratings. Pearson (Spearman) correlations between governance ratings are presented above (below) the diagonal. Numbers on the diagonal represent correlation between 2005 and 2006 ratings for firms in our sample. Panel C provides the percentage of each rating sample in each of 24 Global Industrial Classification System groups. AGR, CGQ, and GMI are on a 0–100 scale. TCL is converted from an “A” to “F” grade to numerical values 1–5, where “A” equals 5 and “F” equals 1 (no “E”). The governance ratings are measured as of December 31, 2005.								
Panel A: Descriptive statistics								
Variable	N	Mean	SD	Min	P25	Median	P75	Max
Primary ratings								
AGR	6,714	63.67	15.18	4.0	54.0	67.0	75.0	88.0
CGQ	5,059	51.61	28.50	0.4	27.1	52.0	76.2	100.0
GMI	1,565	7.08	1.22	2.5	6.5	7.0	8.0	10.0
TCL	1,906	3.22	0.90	1.0	3.0	3.0	4.0	5.0
Panel B: Correlation coefficients								
	AGR	CGQ	GMI	TCL				
AGR	(0.558*)	0.005	0.031	0.063*				
CGQ	0.029*	(0.847)*	0.480*	0.005				
GMI	0.048	0.484*	(0.817)*	–0.020				
TCL	0.076*	0.016	–0.009	(0.613)*				
Panel C: Industry composition (% of sample)								
	AGR	CGQ	GMI	TCL	Compustat			
Energy	4.42	4.40	4.81	4.52	6.06			
Materials	4.72	4.71	6.36	6.34	6.31			
Capital goods	7.65	7.65	8.18	7.99	6.87			
Commercial & professional services	3.33	3.25	3.25	3.25	3.37			
Transportation	1.95	1.94	2.14	2.48	1.99			
Automobiles & components	1.48	1.52	1.62	1.87	1.43			
Consumer durables & apparel	4.29	4.40	4.61	4.80	3.78			
Consumer services	3.56	3.63	4.03	4.08	3.40			
Media	3.07	3.05	3.18	3.36	3.13			
Retailing	5.21	4.98	6.04	6.39	3.77			
Food & staples retailing	0.92	0.93	1.17	1.27	0.79			
Food, beverage & tobacco	2.34	2.42	2.99	3.03	2.27			
Household & personal products	0.76	0.80	0.84	0.99	0.91			
Health care equipment & services	7.62	7.62	7.40	6.84	6.82			
Pharma, biotech & life sciences	7.42	7.20	3.44	3.09	6.17			
Banks	7.52	7.75	5.52	5.62	9.28			
Diversified financials	2.57	2.53	3.18	3.03	2.84			
Insurance	2.87	2.80	3.64	3.36	2.59			
Real estate	4.16	4.29	3.64	3.53	3.21			
Software & services	8.31	8.34	6.30	7.06	9.19			
Technology hardware & equipment	6.99	6.99	7.34	7.00	7.24			
Semiconductors (inc. Equipment)	3.99	3.95	4.16	4.08	2.67			
Telecommunication services	1.72	1.63	1.17	1.32	2.66			
Utilities	3.13	3.22	5.00	4.69	3.26			

* Indicates statistically significant correlation at the 5% level (two-tail).

0 and 100. However, AGR and TCL have noticeable negative skewness, with many firms clustering at relatively high

uncorrelated, with the exception of GMI and CGQ, which have a Pearson (Spearman) correlation of 0.484 (0.480).

(b) Table 1: Summary of governance ratings

5.2 Table 2: Governance ratings and future restatements

Read: AGR and GMI predict fewer future restatements; CGQ and TCL do not meaningfully predict restatements. The paper also emphasizes that the improvement in classification is modest, even when a rating is statistically significant.

Interpretation: Restatements are a natural validation target because they reflect breakdowns in accounting and reporting. AGR’s performance is sensible because its construction is explicitly accounting-risk oriented. GMI’s result suggests some useful signal, but the small classification improvement cautions against overinterpreting significance. The failure of CGQ and TCL is important because broad governance ratings often claim to predict corporate problems. If those broad ratings cannot predict restatements well, their practical screening value is limited.

Economic message: The table suggests that narrow, output-oriented accounting-risk measures can work better than broad governance scores for accounting-failure outcomes. The result is not a general endorsement of commercial governance ratings.

Table 2
Governance ratings and future restatements.

This table reports the results of logit regressions where the dependent variable equals one if, in the three years after December 31, 2005, the firm restates revenues or expenses for fiscal years 2004 or later, zero otherwise (data on restatements are obtained from Glass, Lewis & Co.). Numbers in parentheses are standard errors clustered by two-digit SIC codes.

The independent variables included are a constant (unconditional analysis) or a constant plus controls (conditional analysis). Following Larcker, Richardson, and Tona (2007), the controls used are debt-to-market (*Leverage*), book-to-market (*BM*), *External financing*, log of market capitalization (*Log market value*), cash spent on acquisitions (*Acquisitions*) and *Free cash flow*. All controls are measured for the latest fiscal year ending on or before September 30, 2005. The governance rating variables are the *AGR* from Audit Integrity, *CGQ* from RiskMetrics/ISS, *GMI* from GovernanceMetrics International, and *TCL* from The Corporate Library.

The governance ratings are measured as of December 31, 2005. Each governance rating is standardized to have a mean of zero and standard deviation of one.

Panel A: Primary governance ratings, unconditional analysis						
	AGR	CGQ	GMI	TCL		
Governance rating	-0.264** (0.0460)	-0.0421 (0.0777)	-0.383** (0.0994)	-0.0164 (0.0828)		
Constant	-2.330** (0.130)	-2.319** (0.143)	-2.325** (0.202)	-2.205** (0.188)		
Observations	6,554	5,003	1,565	1,903		
Pseudo R ²	0.0103	0.000238	0.0195	< 0.0001		
Panel B: Descriptive statistics, controls for conditional analysis						
Variable	N	Mean	Std. dev.	P25	Median	P75
Leverage	6,645	0.27	0.38	0.02	0.16	0.35
BM	6,551	0.47	0.36	0.21	0.41	0.65
External financing	6,551	0.02	0.25	-0.07	-0.01	0.07
Log market value	6,551	5.48	2.43	3.8	5.49	7.17
Acquisition	6,551	0.02	0.06	0	0	0
Free cash flow	6,518	-0.13	1.94	-0.06	0.03	0.07
Panel C: Primary governance ratings, conditional analysis						
	AGR	CGQ	GMI	TCL		
Governance rating	-0.249** (0.0451)	-0.0430 (0.0829)	-0.352** (0.111)	-0.0709 (0.0817)		
Leverage	-0.00821 (0.162)	-0.00900 (0.271)	-1.218 (0.640)	-0.462 (0.471)		
BM	-0.420* (0.198)	-0.530** (0.168)	-0.304 (0.338)	-0.699* (0.334)		
External financing	-0.352 (0.180)	-0.348 (0.207)	-1.050 (0.568)	-0.298 (0.455)		
Log market value	-0.0313 (0.0274)	-0.0230 (0.0354)	-0.0490 (0.0756)	-0.190** (0.0553)		
Acquisition	1.557 (0.524)	2.416* (0.391)	2.320 (1.983)	0.745 (1.983)		
Free cash flow	0.148 (0.104)	0.0906 (0.0527)	-1.510* (0.703)	0.551 (0.467)		
Constant	-2.095** (0.152)	-1.986** (0.183)	-1.605** (0.596)	-0.436 (0.418)		
Observations	6,416	4,979	1,562	1,897		
Pseudo R ²	0.0149	0.0071	0.0325	0.0128		

*, ** Indicates significance at the 5% and 1% levels (two-tail), respectively.

For the 1,562 firms with *GMI* ratings and data to calculate our controls, 147 experienced a restatement in 2006. Thus, the percent correctly classified increases from 63.19% to 65.24% with the inclusion of *GMI*.²² Thus, there is a

Table 2: Governance ratings and future restatements

5.3 Table 3: Governance ratings and future class-action lawsuits

Read: *AGR* is negatively related to lawsuits; *CGQ* has an unexpected positive relation in the unconditional analysis; *GMI* is negative with controls. The evidence is more mixed than in the restatement table.

Interpretation: Lawsuits are governance-relevant but noisy. They may reflect poor governance, poor disclosure, bad luck, stock price crashes, or aggressive plaintiffs. *AGR*'s negative relation is again consistent with accounting-risk detection. *CGQ*'s positive relation is damaging because better ratings should not be associated with more litigation. This wrong-signed result suggests either measurement error, a mismatch between the rating and true legal risk, or the possibility that the *CGQ* score rewards formal governance structures that do not actually prevent litigation.

Economic message: The lawsuit evidence reinforces the paper's core conclusion: commercial ratings do not consistently identify firms less likely to experience governance-related adverse events.

5.4 Table 4: Governance ratings and future operating performance

Read: *AGR* predicts future ROA; other ratings do not robustly predict ROA once lagged performance is considered.

Interpretation: The *AGR* result is consistent with the idea that accounting quality and earnings-risk diagnostics contain information about operating outcomes. But ROA is persistent, and once lagged ROA is included, many governance-rating effects weaken. This matters because a useful governance score should add information beyond prior performance. Broad ratings that fail this test are not obviously useful to investors who already observe accounting fundamentals.

Table 3
Governance ratings and future class-action lawsuits.

Results are for logit regressions where the dependent variable (*Lawsuit*) equals one if a class-action lawsuit is filed against the firm after December 31, 2005 and before June 30, 2009 (the latest date on the Woodruff-Sawyer database of corporate litigation), zero otherwise. The independent variables are the indicated governance rating as of December 31, 2005 and either a constant (unconditional analysis) or controls (conditional analysis). Numbers in parentheses are standard errors.

Following Rogers and Stocken (2005), we use the following controls in Panel B: the natural log of the average market value of equity (*Size*), average daily turnover divided by average shares outstanding (*Turnover*), the slope coefficient from a regression of daily returns on the CRSP value-weighted index (*Beta*), buy-and-hold returns (*Returns*), the standard deviation, skewness, and minimum value of daily returns (*Std dev(Returns)*, *Skewness(Returns)*, *Min(Returns)*, respectively), and indicators for membership of the following industry groups: Biotechnology, Computer hardware, Electronic, Retailing, and Computer software. All controls are measured over the year ending December 31, 2005.

The governance rating variables are the *AGR* from Audit Integrity, *CGQ* from RiskMetrics/ISS, *GMI* from GovernanceMetrics International, and *TCL* from The Corporate Library. The governance ratings are measured as of as of December 31, 2005. Each governance rating is standardized to have a mean of zero and standard deviation of one.

Panel A: Unconditional analysis						
	AGR	CGQ	GMI	TCL		
Governance rating	-0.319** (0.0508)	0.551** (0.0678)	0.00689 (0.0846)	-0.206** (0.0769)		
Constant	-2.989** (0.0583)	-2.987** (0.0699)	-2.208** (0.0846)	-2.303** (0.0804)		
Observations	6,714	5,009	1,565	1,906		
Pseudo R ²	0.0140	0.0337	< 0.0001	0.0061		
Panel B: Descriptive statistics, controls for conditional analysis						
Variable	N	Mean	Std. dev.	P25	Median	P75
Turnover	5,329	0.0076	0.0156	0.0023	0.0048	0.0089
Size	5,329	19.77	1.91	18.43	19.66	20.99
Returns	5,329	0.11	0.54	-0.15	0.05	0.27
Std dev(Returns)	5,329	0.03	0.02	0.02	0.02	0.03
Min(Returns)	5,329	-0.10	0.08	-0.13	-0.08	-0.05
Beta	5,329	0.92	0.69	0.46	0.94	1.36
Skewness(Returns)	5,329	0.40	1.53	-0.13	0.30	0.84
Panel C: Conditional analysis						
	AGR	CGQ	GMI	TCL		
Governance rating	-0.367** (0.0587)	0.0155 (0.0825)	-0.211* (0.0935)	-0.104 (0.0838)		
Turnover	5.125 (1.435)	15.04** (2.920)	37.71* (4.496)	37.61** (15.21)		
Size	0.435** (0.0381)	0.445** (0.0456)	0.625** (0.0758)	0.450** (0.0658)		
Returns	0.252** (0.0871)	0.244* (0.0969)	-0.300 (0.280)	0.121 (0.224)		
Std dev(Returns)	0.987 (1.532)	8.730 (11.10)	89.92** (32.33)	41.24* (19.15)		
Min(Returns)	-1.635 (1.435)	-2.540 (1.800)	9.269* (3.846)	4.861 (3.004)		
Beta	0.132 (0.107)	0.210* (0.125)	-0.112 (0.284)	-0.0280 (0.218)		
Skewness(Returns)	-0.0439 (0.0612)	-0.00765 (0.0682)	-0.112 (0.110)	-0.109 (0.100)		
Constant	-12.30** (0.860)	-12.60** (1.025)	-17.06** (1.805)	-12.86** (1.598)		
Observations	5,304	4,326	1,563	1,871		
Pseudo R ²	0.110	0.108	0.100	0.0806		

*, ** Indicates significance at the 5% and 1% levels (two-tail), respectively.

Table 3: Governance ratings and future class-action lawsuits

Economic message: The performance evidence is most favorable to AGR, but that success is better interpreted as accounting-output prediction rather than broad governance-quality prediction.

Table 4: Governance ratings and future operating performance.

Results are for ordinary least-square (OLS) regressions where the dependent variable is industry-median adjusted ROA (Ind. adj. ROA_{it}) for the fiscal year ending between June 2008 and May 2009 and the independent variables are the indicated governance rating as of December 31, 2005, industry-median adjusted ROA for the latest fiscal year ending on or before December 31, 2005 (Ind. adj. ROA_{it-1}), and, following Larcker, Richardson, and Tuna (2007), the natural logarithm of market value in millions of dollars as of December 31, 2005, ln(MV). Industries are defined using two-digit SIC codes. ROA is defined as using income from operations (Compustat OIADP) divided by average total assets (average of Compustat AT for current and prior fiscal year) for the fiscal year ending between June 2008 and May 2009. ROA is winsorized to have an absolute value not greater than one. To be included in the sample, a firm must have data for ROA on Compustat and be in an industry with at least five observations on ROA. Numbers in parentheses are standard errors.

The governance rating variables are the AGR from Audit Integrity, CGQ from RiskMetrics/ISS, GMI from GovernanceMetrics International, and TCL from the Corporate Library. The governance ratings are measured as of as of December 31, 2005. Each governance rating is standardized to have a mean of zero and standard deviation of one.

Variable	N	Mean	Std. dev.	P25	Median	P75
Ind. adj. ROA _{it}	5,074	-0.0246	0.2709	-0.0321	0.0354	0.0986
Ind. adj. ROA _{it-1}	5,067	-0.0037	0.2712	-0.0004	0.0488	0.1137
ln(MV)	5,056	5.25	2.52	3.45	5.31	7.11

Panel B: Contemporaneous ROA

	AGR	CGQ	GMI	TCL
Governance rating	0.0372** (0.00329)	0.00807** (0.00375)	-0.00340 (0.00345)	0.00884** (0.00221)
ln(MV)	0.0465** (0.00144)	0.0347** (0.00170)	0.0192** (0.00263)	0.0230** (0.00220)
Constant	-0.207** (0.00908)	-0.216** (0.0108)	-0.087** (0.0211)	-0.118** (0.0172)
Observations	4,941	3,917	1,400	1,651
Adjusted R ²	0.189	0.141	0.0378	0.0613

Panel C: Future ROA, without contemporaneous ROA

	AGR	CGQ	GMI	TCL
Governance rating	0.0371** (0.00335)	-0.00287 (0.00389)	-0.00084 (0.00358)	0.00984 (0.00336)
ln(MV)	0.0454** (0.00147)	0.0248** (0.00176)	0.0220** (0.00273)	0.0250** (0.00230)
Constant	-0.308** (0.00624)	-0.216** (0.0112)	-0.125** (0.0219)	-0.156** (0.0179)
Observations	4,941	3,917	1,400	1,651
Adjusted R ²	0.178	0.134	0.0467	0.0703

Panel D: Future ROA, with contemporaneous ROA

	AGR	CGQ	GMI	TCL
Governance rating	0.0133** (0.00263)	0.00288 (0.00302)	-0.000300 (0.00245)	-0.000694 (0.00238)
Ind. adj. ROA _{it-1}	0.641** (0.0112)	0.854** (0.0129)	0.757** (0.0190)	0.739** (0.0182)
ln(MV)	0.0156** (0.00125)	0.0122** (0.00144)	0.00746** (0.00191)	0.00893** (0.00168)
Constant	-0.117** (0.00792)	-0.0931** (0.00917)	-0.087** (0.0151)	-0.0691** (0.0129)
Observations	4,941	3,917	1,400	1,651
Adjusted R ²	0.504	0.478	0.553	0.534

Table 4: Governance ratings and future operating performance

5.5 Table 5: Governance ratings and Tobin's Q

Read: AGR and CGQ often have negative relations with Q, while TCL has positive relations in some specifications. Once lagged Q and other controls are considered, the results are not robust.

Interpretation: Tobin's Q is a broad valuation measure and is difficult to interpret causally. A negative coefficient on a supposedly high-quality governance rating is especially concerning because it contradicts the vendor narrative that better governance increases value. The sensitivity of results to controls and common samples suggests that Q is not a stable validation target for these scores. The paper therefore treats the Q evidence as inconsistent with strong claims, not as proof that governance lowers value.

Economic message: If ratings were strong summaries of value-relevant governance, they should show a clear positive relation with Q. They do not, which weakens their investment usefulness.

5.6 Table 6: Stock returns around changes in governance ratings

Read: Rating changes generally do not produce strong short-window abnormal returns.

Interpretation: Event-window tests ask whether rating changes reveal new information to the market. Weak abnormal returns imply either that the rating update is not informative, that the market already knows the underlying governance information, or that investors do not believe the rating change has value implications. Under any of these interpretations, the evidence does not support the idea that rating changes are powerful governance news.

Economic message: Rating revisions do not appear to trigger meaningful price discovery. This limits the market-information role of the commercial ratings.

Table 5: Governance ratings and Tobin's Q.

Results are for OLS regressions where the dependent variable is Tobin's Q, defined as the ratio $(TA + MVE - BVE)/TA$, where TA is total assets (Compustat AT), MVE is market capitalization $(PRCC_F \times CSHO)$, and BVE is the book value of equity (CQ), each for the fiscal year ending between June 2008 and May 2009. Tobin's Q_{it-1} is measured as of the end of the latest fiscal year ending on or before December 31, 2005. To be included in the sample, a firm must have data for Tobin's Q on Compustat and be in an industry with at least five observations. Industry fixed effects are not reported for reasons of space. Numbers in parentheses are standard errors.

The governance rating variables are the AGR from Audit Integrity, CGQ from RiskMetrics/ISS, GMI from GovernanceMetrics International, and TCL from the Corporate Library. The governance ratings are measured as of December 31, 2005. Each governance rating is standardized to have a mean of zero and standard deviation of one.

Variable	N	Mean	Std. dev.	P25	Median	P75
Tobin's Q	5,048	1.82	2.49	0.95	1.10	1.61
Tobin's Q _{it-1}	5,053	2.33	2.74	1.07	1.47	2.34

Panel B: Contemporaneous Tobin's Q

	AGR	CGQ	GMI	TCL
Governance rating	-0.136** (0.0380)	-0.236** (0.0309)	0.0133 (0.0291)	0.119** (0.0318)
Ind. fixed effects	Yes	Yes	Yes	Yes
Observations	5,000	3,922	1,402	1,653
Adjusted R ²	0.0852	0.106	0.139	0.117

Panel C: Future Tobin's Q, without contemporaneous Tobin's Q

	AGR	CGQ	GMI	TCL
Governance rating	-0.133** (0.0349)	-0.228** (0.0294)	0.00943 (0.0198)	0.0800** (0.0242)
Ind. fixed effects	Yes	Yes	Yes	Yes
Observations	4,995	3,920	1,399	1,649
Adjusted R ²	0.0693	0.0776	0.162	0.162

Panel D: Future Tobin's Q, with contemporaneous Tobin's Q

	AGR	CGQ	GMI	TCL
Governance rating	-0.0604** (0.0211)	-0.0532* (0.0201)	0.00255 (0.0125)	0.00951 (0.0154)
Tobin's Q _{it-1}	0.731** (0.00795)	0.694** (0.00795)	0.529** (0.0104)	0.589** (0.0121)
Ind. fixed effects	Yes	Yes	Yes	Yes
Observations	4,988	3,917	1,399	1,649
Adjusted R ²	0.657	0.574	0.666	0.664

*, ** Indicates significance at the 5% and 1% levels, respectively.

Table 5: Governance ratings and Tobin's Q

Table 6

Stock returns around changes in governance ratings. Results are the coefficients on the change in (unstandardized) governance rating from OLS regressions of market- or size-adjusted returns, expressed as percentages, over the indicated windows around the date of the rating change (date 0). Sample includes rating changes from public sources over the period from 2002 through September 2007. Unchanged governance ratings are not included. Numbers in parentheses are standard errors. These standard errors are clustered on event dates for 3- and 5-day windows and on months for windows from prior month to the day after the rating change. The governance rating variables are the *AGR* from Audit Integrity, *CGQ* from RiskMetrics/ISS, *GMI* from GovernanceMetrics International, and *TCL* from The Corporate Library. The governance ratings are measured as of December 31, 2005.

<i>Panel A: Market-adjusted returns</i>				
Event window	<i>AGR</i>	<i>CGQ</i>	<i>GMI</i>	<i>TCL</i>
(−1, +1)	0.0036 (0.0029)	0.0076 (0.0044)	−0.0350* (0.0145)	0.1506 (0.1319)
(−2, +2)	0.0048 (0.0032)	0.0050 (0.0038)	−0.0150 (0.0114)	0.3328** (0.1190)
(prior rating, +1)	0.0287 (0.0154)	−0.0182 (0.0108)	−0.0910 (0.1118)	−0.3846 (0.7423)
Num. of event dates	668	18	8	206
Number of months	56	18	8	32
<i>Panel B: Size-adjusted returns</i>				
(−1, +1)	0.0028 (0.0027)	0.0069* (0.0029)	−0.0270 (0.0202)	0.1535 (0.1146)
(−2, +2)	0.0044 (0.0032)	0.0051 (0.0042)	0.0003 (0.0126)	0.3173** (0.1096)
(prior rating, +1)	0.0307* (0.0144)	−0.0013 (0.0110)	−0.0644 (0.0983)	0.1303 (0.5173)
Num. of event dates	668	18	8	206
Number of months	56	18	8	32
<i>Panel C: Descriptive statistics of governance rating changes</i>				
Mean	−0.13	0.15	0.04	−0.19
Standard deviation	11.02	7.70	2.43	1.19
10th percentile	−13.00	−4.29	−0.50	−1.00
25th percentile	−6.00	−1.30	−0.50	−1.00
50th percentile	1.00	−0.40	0.50	−1.00
75th percentile	6.00	0.42	0.50	1.00
90th percentile	13.00	4.57	1.00	1.00

** Indicates significance at the 5% and 1% levels, respectively.

Subsequent regressions. As pointed out in prior literature,

Table 6: Stock returns around changes in governance ratings

Table 7

Governance ratings and future stock performance. Results are for OLS regressions where the dependent variable is Alpha, estimated as the residual from a four-factor Fama-French model with a momentum factor estimated using returns over the 12, 24, or 36 months after December 31, 2005 (a minimum of 12 months of return data is required for inclusion). Factor data are obtained from Ken French's Web site. The governance rating variables are the *AGR* from Audit Integrity, *CGQ* from RiskMetrics/ISS, *GMI* from GovernanceMetrics International, and *TCL* from The Corporate Library. *AGR*, *CGQ* and *GMI* ratings are on a 0–100 scale. *TCL* is converted from an "A" to "F" grade to numerical values 1–5, where "A" equals 5 and "F" equals 1 (no "E"). The governance ratings are measured as of December 31, 2005. Each governance rating is standardized to have a mean of zero and standard deviation of one.

<i>Panel A: Alpha, 12 months after December 31, 2005</i>				
	<i>AGR</i>	<i>CGQ</i>	<i>GMI</i>	<i>TCL</i>
Rating	0.0049** (0.00161)	−0.000795 (0.00107)	−0.000563 (0.00118)	−0.000162 (0.00124)
Constant	−0.000135 (0.000951)	0.00196 (0.00103)	0.00269* (0.00118)	0.00256* (0.00124)
Observations	4970	4063	1525	1808
Adjusted R ²	0.00375	0.00011	0.00051	0.00054
<i>Panel B: Alpha, 24 months after December 31, 2005</i>				
Rating	0.00318** (0.000438)	0.000369 (0.000496)	0.000768 (0.000527)	0.00108 (0.000559)
Constant	−0.000669 (0.000430)	−0.00118* (0.000475)	−0.000211 (0.000527)	0.000119 (0.000559)
Observations	4975	4066	1526	1809
Adjusted R ²	0.00942	−0.00011	0.00074	0.00152
<i>Panel C: Alpha, 36 months after December 31, 2005</i>				
Rating	0.00315** (0.000446)	0.00179** (0.000486)	0.000769 (0.000527)	0.00150** (0.000562)
Constant	−0.00244** (0.000420)	−0.00280** (0.000465)	0.000964 (0.000528)	0.000505 (0.000561)
Observations	4977	4068	1527	1810
Adjusted R ²	0.00971	0.00307	0.000738	0.00336

*, ** Indicates significance at the 5% and 1% levels, respectively. Numbers in parentheses are standard errors.

Table 7 presents the results of our regressions regressed with the motion of corrected returns stocks.

Table 7: Governance ratings and future stock performance

5.7 Table 7: Governance ratings and future stock performance

Read: *AGR* predicts positive future alphas; *CGQ* and *TCL* have limited longer-horizon significance, while *GMI* is generally weak.

Interpretation: The alpha results are more favorable for *AGR* than for the broad governance ratings. But even here, interpretation requires caution. Future abnormal returns may reflect omitted risk factors, crisis-period exposure, accounting-risk mispricing, or investor underreaction to accounting-quality signals. The broad governance ratings do not show the consistent predictive ability one would expect if they reliably identified value-relevant governance.

Economic message: The stock-return evidence suggests some tradable information in AGR, but not a broad governance-rating premium. The main investment implication is not that governance ratings generate alpha, but that broad commercial governance scores are unreliable predictors.

5.8 Table 8: Governance ratings and credit ratings

Read: Governance ratings do not predict future credit ratings once prior credit ratings are included.

Interpretation: Credit ratings summarize debt-market assessments of default risk and financial strength. If governance scores meaningfully captured governance quality relevant to creditors, they should predict future credit rating changes beyond prior ratings. Their failure to do so suggests that credit analysts either already incorporate relevant governance information or that commercial governance scores add little to credit fundamentals.

Economic message: Standard credit fundamentals dominate governance ratings for debt-market prediction. The ratings do not appear useful as incremental credit-risk signals.

Table 8
Governance ratings and credit ratings.

Results are for ordered logit regressions where the dependent variable is the Standard and Poor's credit rating at either the end of the latest fiscal year ending on or before December 31, 2005 (Panel B) or the end of fiscal 2008 (Panels C and D). In Panel B, the independent variables are the indicated governance rating as of December 31, 2005, $\ln(MV)$, BM , ROA , and $Leverage$ for the latest fiscal year ending on or before December 31, 2005, and $Beta$ and $Volatility$ estimated using data for the 60 months prior to December 31, 2005. $\ln(MV)$ is the natural logarithm of market value expressed in millions of dollars. BM is the book value of common equity (CEQ) divided by the market value of common equity. ROA is defined as using income from operations (Compustat OIADP) divided by average total assets (average of Compustat AT for current and prior fiscal years). ROA is winsorized to have an absolute value not greater than one. $Beta$ is computed using firm-specific capital-asset-pricing model (CAPM) regressions and $Volatility$ is the annualized standard deviation of monthly returns in excess of the risk-free rate. In Panel D, we add the Standard and Poor's credit rating at the end of the latest fiscal year ending on or before December 31, 2005. Numbers in parentheses are standard errors.

The governance rating variables are the AGR from Audit Integrity, CGQ from RiskMetrics/ISS, GMI from GovernanceMetrics International, and TCL from The Corporate Library. The governance ratings are measured as of December 31, 2005. Each governance rating is standardized to have a mean of zero and standard deviation of one.

Panel A: Descriptive statistics, independent variables						
Variable	N	Mean	Std. dev.	P25	Median	P75
$\ln(MV)$	1,310	8.19	1.49	7.18	8.16	9.39
BM	1,310	0.47	0.29	0.28	0.43	0.62
ROA	1,319	0.09	0.08	0.04	0.08	0.13
$Leverage$	1,319	0.30	0.21	0.16	0.27	0.41
$Beta$	1,201	0.99	0.80	0.43	0.83	1.29
$Volatility$	1,200	0.36	0.18	0.23	0.31	0.43

Panel B: Contemporaneous credit ratings				
	AGR	CGQ	GMI	TCL
Governance rating	0.0599 (0.0601)	-0.0578 (0.0676)	0.159** (0.0608)	0.0953 (0.0631)
$\ln(MV)$	1.213** (0.0555)	1.214** (0.0585)	1.089** (0.0740)	1.121** (0.0699)
BM	0.149 (0.219)	0.0270 (0.249)	0.304 (0.324)	-0.0759 (0.293)
ROA	1.028 (0.773)	1.910* (0.839)	4.052** (1.027)	3.587** (0.974)
$Leverage$	-2.473** (0.303)	-2.507** (0.320)	-2.539** (0.406)	-2.699** (0.370)
$Beta$	-0.0418 (0.0983)	-0.0378 (0.112)	0.440** (0.161)	0.293** (0.133)
$Volatility$	-7.866** (0.544)	-8.333** (0.602)	-12.48** (0.899)	-11.00** (0.759)
Observations	1,195	1,076	781	857
Pseudo R^2	0.233	0.241	0.220	0.233

Panel C: Future credit ratings, unconditional prediction				
Governance rating	-0.0744 (0.0534)	0.432** (0.0609)	0.521** (0.0612)	-0.106 (0.0556)
Observations	1,342	1,185	832	918
Pseudo R^2	<0.001	0.008	0.018	<0.001

Panel D: Future credit ratings, conditional prediction				
Governance rating	-0.0438 (0.0555)	-0.0585 (0.0625)	0.0256 (0.0657)	-0.0381 (0.0581)
Credit ratings ₂₀₀₅	1.245** (0.0366)	1.270** (0.0390)	1.245** (0.0465)	1.202** (0.0426)
Observations	1,217	1,098	785	863
Pseudo R^2	0.331	0.335	0.306	0.307

*, ** indicates significance at the 5% and 1% levels, respectively.

Table 8: Governance ratings and credit ratings

Table 9
CGQ, ISS recommendations, and shareholder voting.

Results in Panels A and B are for logit regressions where the dependent variable equals one if the ISS recommends a vote "for" a proposal. Results in Panels C and D are for Tobit regressions (with bounds at zero and one) where the dependent variable percent for is calculated as the numbers of votes for a proposal divided by the sum of votes for, votes against, and abstentions. Shareholder voting data are for proposals receiving management support and voted on at meetings in 2005, 2006, and 2007 for which we have prior CGQ ratings. Votes on compensation plans include votes on bonus, compensation, stock and option plans, excluding non-employee plans. Recommendation and voting data were obtained from ISS. Director elections in Panels C and D are restricted to those on the Equilar director file. Numbers in parentheses are standard errors clustered by firm.

Excess returns are the returns over the 12-month period ending two months prior to the meeting date, less the value-weighted CRSP returns over the same period. Dilution measures are based on data supplied by Equilar. *Proposal dilution* equals shares requested under the proposal divided by shares outstanding. *Burn rate* equals options granted in the prior fiscal year divided by shares outstanding. *Overhang* equals options outstanding divided by shares outstanding. *Recent restatement* indicates that the firm had a restatement listed on the Gao-Lewis file over the 24-month period prior to the meeting. *Excess compensation* is the residual, as a proportion of the fitted value, from a regression by two-digit SIC code of 2005 total direct compensation, as defined by Equilar, on market value, sales, return on assets, and one-year total shareholder return. Panel B (and D) reports regressions estimating ISS recommendations on (and results of) shareholder votes for particular directors. *Chair*, *Vice chairman*, *Lead director*, *Outsider*, *Insider*, and *Female* are indicator variables for individual directors nominated for the board and are taken from the Equilar director file. *Age* (*Tenure*) is the director's age (tenure on the board) taken from the Equilar director file.

Panel A: CGQ and ISS recommendations			
	All proposals	Compensation plans	Compensation plans
CGQ	0.0282** (0.0729)	0.0241** (0.0022)	0.0243** (0.0027)
Proposal dilution			-5.5612** (1.6661)
Burn rate			-5.7680 (5.8100)
Overhang			-2.8278 (1.7920)
Constant	0.4872** (0.0013)	0.1232 (0.1397)	0.8862 (0.2218)
Marginal effect of change in CGQ on probability that ISS recommends a vote "for" the proposal (evaluated at the mean value for CGQ)	0.0022	0.0031	0.0031
Observations	34,761	2,309	1,527

Panel B: CGQ and ISS recommendations in director elections			
	Without controls		With controls
CGQ	0.0278** (0.00211)	0.0248** (0.00210)	0.0233** (0.0085)
Chair			-0.256 (0.227)
Vice chairman			1.288** (0.151)
Lead director			1.080** (0.110)
Outsider			0.9403 (0.110)
Insider			-0.0580 (0.112)
Female			-0.00760 (0.00459)
Age			-0.00248 (0.00433)
Tenure			0.413 (0.117)
Constant	0.528** (0.117)	0.413 (0.307)	0.00165 (0.00165)
Marginal effect of change in CGQ on probability that ISS recommends a vote "for" the proposal (evaluated at the mean value for CGQ)	0.00204	0.00204	0.00165
Observations	13,011	13,011	12,698
Pseudo R^2	0.0732	0.0732	0.1180

Panel C: CGQ and shareholder voting outcomes			
	All votes	Compensation plans	
CGQ	0.0001** (< 0.0001)	-0.0003** (< 0.0001)	0.00007** (0.0001)
ISS recommendation		0.1644** (0.0054)	0.1717** (0.0107)
Excess return		-0.0010 (0.0017)	-0.0020 (0.0050)

Table 9: CGQ, ISS recommendations, and shareholder voting, part 1

5.9 Table 9: CGQ, ISS recommendations, and shareholder voting

Read: CGQ has a small positive relation with ISS recommendations, while ISS recommendations strongly predict votes. The strongest voting relation is therefore between ISS's recommendation and the vote outcome, not between CGQ and votes directly.

Interpretation: This table is important because ISS is both a rating provider and a voting adviser. If CGQ were a central input into investor decisions, one would expect a strong CGQ-vote relationship. Instead, the voting channel appears to operate mainly through explicit ISS recommendations. CGQ may be visible on recommendation reports, but it is not the main independent driver of voting outcomes.

Economic message: The governance score and the proxy-advice product should not be conflated. Shareholders appear to respond more to direct voting recommendations than to CGQ ratings themselves.

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Table 9. (continued)

Proposal dilution				–0.4253** (0.1066)
Burn rate				–0.5960** (0.2649)
Overhang				–0.3919** (0.0715)
Constant	0.9381** (0.0026)	0.8198** (0.0062)	0.8442** (0.0087)	0.7926** (0.0151)
Observations	33,772	33,594	2,278	1,503

Panel D: CGQ and shareholder voting outcomes for director elections

	All director elections		Audit committee members	
CGQ	0.0001 (0.0001)	–0.000381** (0.0001)	–0.000107 (0.0001)	–0.000213** (0.0000)
ISS recommendation		0.175** (0.00831)		0.227** (0.0134)
Excess return		0.00515 (0.00371)		0.00314 (0.00377)
Chair		–0.00824** (0.00217)		–0.0257** (0.00649)
Vice chairman		–0.00946 (0.00709)		–0.00539 (0.00998)
Lead director		0.00175 (0.00198)		0.00394 (0.00266)
Outsider		0.00206 (0.00253)		0.00199 (0.00579)
Insider		0.0232** (0.00226)		0.0535** (0.0146)
Female		0.00795** (0.00155)		0.00284 (0.00207)
Age		0.00004 (0.0001)		–0.000106 (0.000109)
Tenure		–0.000471** (0.000108)		–0.000571** (0.000154)
Committee chair			–0.00262* (0.00137)	0.000006** (0.0000)
Recent restate.			–0.0127** (0.00313)	
Constant	0.943** (0.00385)	0.812** (0.00578)	0.959** (0.00437)	0.765** (0.0145)
Observations	12,510	12,206	5,137	5,109

Governance and nominating committee members

CGQ	0.000133 (0.0001)	–0.000217** (0.0001)	0.0000 (0.0001)	–0.000228** (0.0001)
ISS recommendation		0.210** (0.0103)		0.231** (0.0113)
Excess return		0.00216 (0.00392)		0.00273 (0.00417)
Chair		–0.0112* (0.00495)		–0.06510 (0.00636)
Vice chairman		–0.0237 (0.0211)		–0.0315* (0.0181)
Lead director		0.00386 (0.00247)		0.00730* (0.00287)
Outsider		0.00009 (0.00430)		–0.00261 (0.00469)
Insider		0.0947** (0.0162)		0.139** (0.0188)
Female		0.00824** (0.00233)		0.00537* (0.00242)
Age		0.000143 (0.000117)		0.00004 (0.000122)
Tenure		–0.000787** (0.000163)		–0.000624** (0.000146)
Committee chair		–0.00509** (0.00172)		–0.000167 (0.00146)

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Table 9. (continued)

Excess comp.				0.000006** (0.0000)
Constant	0.935** (0.00517)	0.765** (0.0121)	0.944** (0.00529)	0.753** (0.0131)
Observations	4,759	4,746	5,030	4,111

*, ** Indicates significance at the 5% and 1% levels, respectively.

Table 9: CGQ, ISS recommendations, and shareholder voting, part 3

Table 9: CGQ, ISS recommendations, and shareholder voting, part 2

5.10 Table 10: Summary of results

Read: AGR has the most expected-sign results; CGQ has several unexpected-sign results; GMI and TCL are mixed and generally weak.

Interpretation: The summary table is the paper's central diagnostic. It aggregates the paper's tests into a single pattern: the output-oriented accounting-risk score performs best, while the broad governance ratings rarely deliver consistent, expected-sign prediction. This pattern is hard to reconcile with strong vendor claims that governance ratings are validated measures of governance quality.

Economic message: The table supports a differentiated conclusion. It is too strong to say that all vendor products are useless, because AGR has some predictive content. But it is accurate to say that broad commercial governance ratings do not reliably predict the outcomes users are often promised.

Summary of results.

This table summarizes the results reported in Tables 2–8, focusing only on the estimated coefficient for the governance ratings. An asterisk (*) signifies a significant relationship with the expected sign (i.e., a high governance rating is related to fewer bad outcomes or superior performance). An "x" signifies a statistically significant relationship with an unexpected sign. The governance rating variables are *AGR* from Audit Integrity, *CGQ* from RiskMetrics/ISS, *GMI* from GovernanceMetrics International, and *TCL* from The Corporate Library.

Dependent variable		<i>AGR</i>	<i>CGQ</i>	<i>GMI</i>	<i>TCL</i>
Restatements	No controls	**		**	
	Controls	**		**	
Class-action lawsuits	No controls	**	xx		**
	Controls	**		*	
Operating performance	Contemporaneous <i>ROA</i>	**	**		**
	Future <i>ROA</i> , without contemporaneous <i>ROA</i>	**	*		
	Future <i>ROA</i> , with contemporaneous <i>ROA</i>	**			
Tobin's <i>Q</i>	Contemporaneous <i>Q</i>	xx	xx		**
	Future <i>Q</i> , without contemporaneous <i>Q</i>	xx	xx		**
	Future <i>Q</i> , with contemporaneous <i>Q</i>	x	xx		
Stock returns around ratings changes	Market-adjusted returns (–1, +1)			x	
	(–2, +2)				**
	(prior rating, +1)				
	Size-adjusted returns (–1, +1)		*		
	(–2, +2)				**
	(prior rating, +1)	*			
Future stock performance	Alphas—12 months	**			
	Alphas—24 months	**			
	Alphas—36 months	**	**		**
Credit ratings	Contemporaneous S&P rating			**	
	Future S&P rating, controls				

*(**) Indicates significance with the expected sign at the 5% (1%) level.

x (xx) Indicates significance with the unexpected sign at the 5% (1%) percent level.

Table 10: Summary of results

6 Interpretive synthesis

Commercial governance ratings are noisy, weakly correlated, and often inconsistent predictors. The paper's strongest interpretive distinction is between *governance inputs* and *governance outputs*. Broad scores such as *CGQ*, *GMI*, and *TCL* mostly aggregate structural features, policies, and checklist items. *AGR*, by contrast, is closer to an output-risk measure because it focuses on accounting practices and financial-statement warning signs.

This distinction helps reconcile the findings. A checklist of governance inputs may be too coarse because governance choices are endogenous and context-specific. A staggered board, board structure, compensation feature, or takeover defense may be efficient for one firm and inefficient for another. A single score can therefore misclassify firms. Accounting-risk outputs, by contrast, may be closer to observable failure margins and therefore easier to validate.

The paper also highlights an institutional problem. Commercial ratings can affect board behavior, investor perceptions, and voting recommendations even when their predictive validity is weak. If firms change governance policies merely to improve scores, they may spend resources on cosmetic compliance rather than value-enhancing governance.

7 Short summary

- The paper validates commercial governance ratings using future outcomes.
- Ratings disagree substantially with one another, suggesting they do not measure a common governance-quality construct.
- *AGR* predicts some restatements, lawsuits, *ROA*, and future alphas, consistent with its accounting-risk focus.
- *CGQ* has weak predictive ability and sometimes has the wrong sign.
- *GMI* and *TCL* show scattered evidence but no stable predictive pattern.
- Credit ratings and shareholder votes are better explained by standard fundamentals or ISS recommendations than by governance scores.
- The paper concludes that commercial governance ratings do not support the strong claims made by vendors.

8 Conclusion

8.1 Core conclusion

Leading commercial governance ratings have limited predictive content and should not be treated as validated measures of governance quality. The paper does not show that governance is irrelevant. It shows that these rating products do not reliably measure the governance features that matter for future outcomes.

8.2 Economic intuition

Governance is multidimensional, endogenous, and context-specific. A checklist score can easily be noisy or miss the firm-specific costs and benefits of governance choices. In addition, some outcomes used to validate governance, such as Tobin's Q or ROA, reflect many forces beyond governance. This makes it hard for broad ratings to perform well unless the scoring model is genuinely informative.

8.3 Practical implications

Investors should use commercial governance ratings as screening devices, not as decision rules. Boards should be cautious about changing governance policies simply to improve ratings. Regulators and researchers should distinguish between validated predictive measures and vendor claims.

8.4 Incremental takeaway

The paper shifts the governance debate from whether governance matters to whether commercial governance rating products measure governance well. The evidence suggests that broad commercial ratings largely do not. The most predictive product, AGR, works partly because it measures accounting-risk outputs rather than broad governance inputs.